Titan Company Ltd.

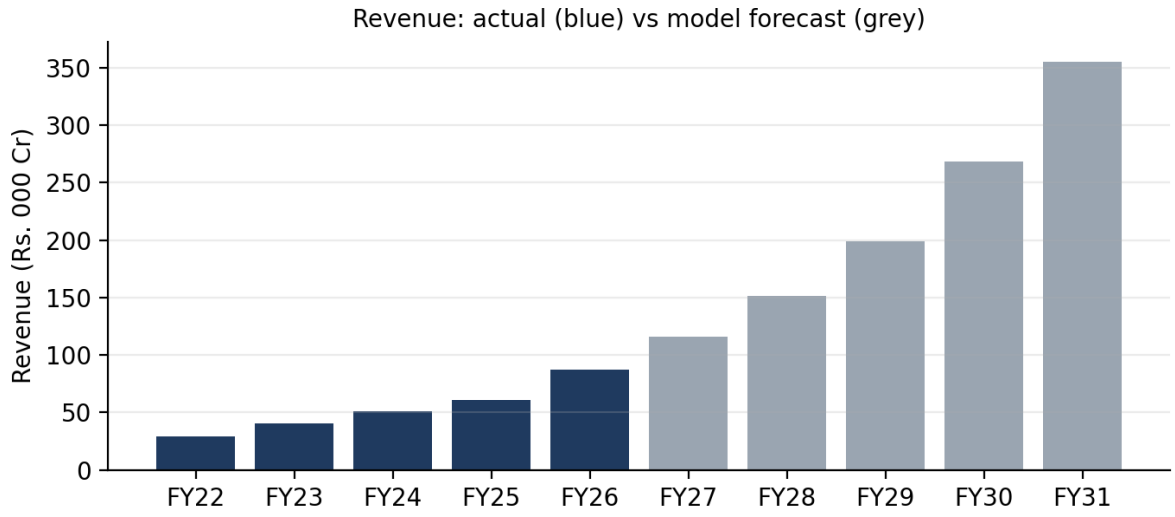
Financial Analysis & Forecast Review (FY22 to FY31E)

Prepared by **Neel Mani Bhatt** | Consolidated figures, Rs. Crores

FY22-26 Revenue CAGR	FY26 Revenue	FY26 PAT	FY26 EBITDA margin	Model FY26-31 Revenue CAGR
32.1%	**Rs. 87,584 Cr**	**Rs. 5,003 Cr**	**9.0%**	**32.3%**

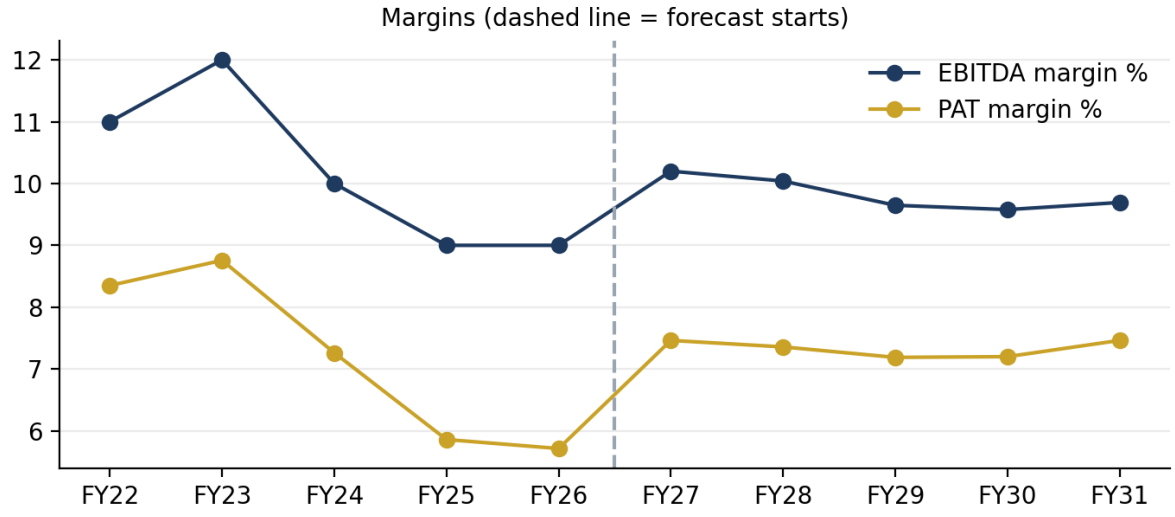
1. Growth story

Revenue grew from Rs. 28,799 Cr in FY22 to Rs. 87,584 Cr in FY26, a 32.1% CAGR, with the biggest jump in FY26 (+45% YoY).



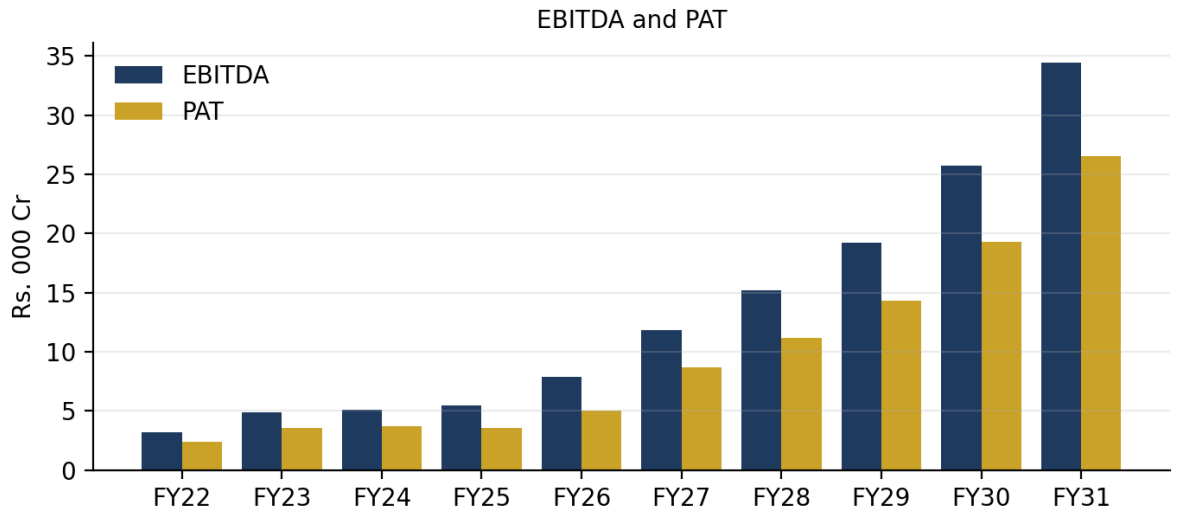
2. Profitability

EBITDA margin moved from 11.0% (FY22) to 9.0% (FY26). The model forecasts margins of about 10.2% to 9.7% over FY27 to FY31, driven by cost-ratio assumptions (COGS, operating expense) on the Assumption sheet.



3. Earnings

PAT rose from Rs. 2,405 Cr (FY22) to Rs. 5,003 Cr (FY26) and is forecast at Rs. 26,498 Cr by FY31E.



	FY22	FY24	FY26	FY28E	FY31E
Revenue	28,799	51,084	87,584	151,336	355,114
EBITDA	3,168	5,108	7,883	15,194	34,422
EBIT	3,148	4,966	7,298	14,365	33,446
PAT	2,405	3,709	5,003	11,134	26,498
EBITDA margin	11.0%	10.0%	9.0%	10.0%	9.7%

4. Model review: what I learned

The DCF in the source model returns a **negative** equity value (about -Rs. 652 per share). Three assumptions drive this:

• **Working capital:** the model adds Rs. 7,258 Cr to Rs. 36,105 Cr of working capital investment each year, which pushes free cash flow to the firm (FCFF) negative in four of five forecast years.

• **WACC vs. terminal growth:** the CAPM-based WACC (3.3%) falls below the 4% terminal growth rate, so a 12.5% WACC was substituted from an external source.

• **Growth vs. capex:** revenue is forecast to grow roughly 30% a year with capex of only about Rs. 1,400 to 2,000 Cr, which looks inconsistent.

Takeaway: a valuation is only as good as the link between growth and the capital needed to fund it. Tightening the working-capital days and reconciling the growth rate with capex would be the next steps.

Source: Titan financial model by Shashank Yadav (used with permission). Charts and commentary are my own analysis. For educational purposes only; not investment advice.